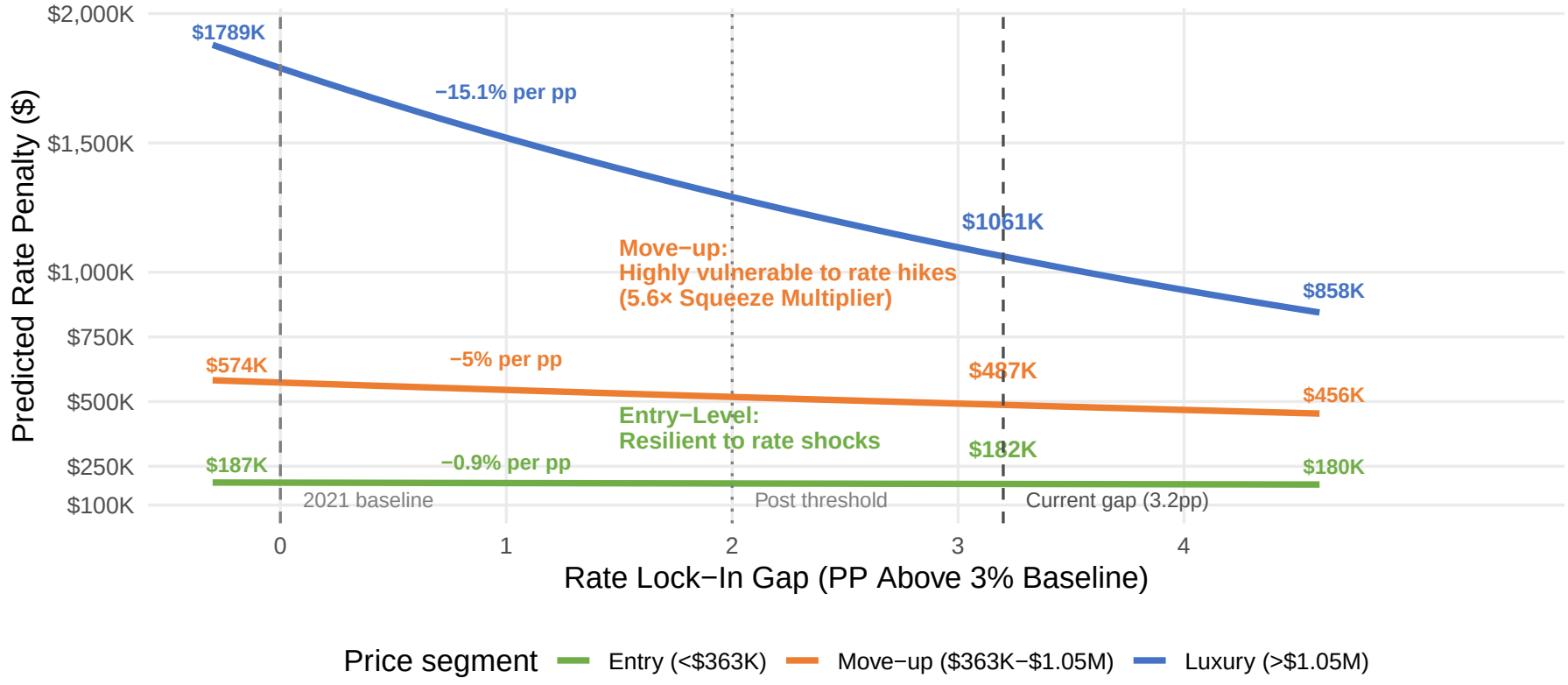
The Rate Penalty: Move−Up Market Bears the Brunt of Rate Hikes

Entry−level buyers remain insulated, while move−up properties face severe price degradation | N = 201,754 transactions



Source: STATS Indiana SDF deed records.
N = 201,754 transactions after regression filters (matched to FRED rate, sale price >$50,000).
Luxury slope (−15.1%/pp) reflects thin market volatility, not behavioral rate sensitivity
(~124 transactions/county/year). Peak observed gap of 4.6pp = 7.6% mortgage rate in the panel window.
Dashed line at 3.2pp = current rate gap at time of study.